

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$3.92 ▲ 1.03%	12M Price Target \$4.50	52-Week Range \$3.01 – \$9.39	Market Cap \$1.88B
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BBAI: Reiterate Hold — Rich Valuation Offsets AI Defense Tailwinds

WHAT'S CHANGED

- Three Zacks notes overnight frame the central debate: rising SG&A pressuring path to profitability vs. AI opportunity size; valuation flagged as "rich" but optionality intact.
- BBAI sits at just 14% of 52-wk range (\$3.92 vs \$3.01–\$9.39) on elevated volume (~28M/day avg this week), with bullish options skew (P/C 0.17) and unusual \$4 July call buying (5.1x OI) signaling near-term upside positioning.

IMPLICATIONS

The Zacks coverage cluster crystallizes the bull/bear standoff that has kept BBAI range-bound near the lower end of its 52-week range despite Tech ETF strength (+4.49% 5D) — the stock is failing to participate in the broader AI risk-on rotation, suggesting investors are demanding evidence of operating leverage before re-rating. Management's reiterated 2026 confidence (June 12 note) is the key offset, but with SG&A intensity rising, the burden of proof shifts to Q2 print for margin trajectory and backlog conversion. Defense/intel AI demand remains structurally intact, but BBAI-specific execution—not the macro AI narrative—will drive the next leg.

VALUATION

At \$1.88B market cap on ~\$195M FY26E revenue, BBAI trades at ~9.6x EV/Revenue FY26E and ~7.7x FY27E — a premium to defense IT peers (3-5x) but a steep discount to pure-play AI comps like PLTR (>40x) and SOUN (>25x). Our \$4.50 PT (~15% upside) applies ~9x FY27E revenue, balancing optionality against negative EBITDA and dilution risk; multiple expansion requires demonstrated SG&A leverage and a marquee DoD/IC contract win.

KEY RISKS

- SG&A growth outpacing revenue, extending path to EBITDA breakeven beyond 2027 and forcing equity raise
- Federal budget continuing resolution risk delays IC/DoD program awards critical to FY26 guidance
- Multiple compression if AI sentiment cools and capital rotates from speculative names; high beta to NASDAQ drawdowns

RECENT NEWS

Can BigBear.ai Balance Rapid AI Innovation With Rising SG&A Expenses? Zacks · 2026-06-19 14:23

SoundHound's Drive-Thru AI Shows ROI: Can Restaurant Rollouts Scale? Zacks · 2026-06-18 14:28

BigBear.ai's Valuation Is Rich, but Is the AI Opportunity Richer? Zacks · 2026-06-18 13:57

Key Data

Price (USD)	\$3.92
12M Price Target	\$4.50
Upside / (Downside)	+14.8%
Market Cap	\$1.88B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.42)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$4.60	\$4.00	\$3.40
6 Months	\$5.75	\$4.50	\$3.00
1 Year	\$7.50	\$4.75	\$2.50
2 Years	\$9.50	\$5.50	\$2.00
5 Years	\$15.00	\$7.00	\$1.50
10 Years	\$25.00	\$10.00	\$1.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+4.49% 5D), Industrials (+3.29% 5D)

COLD SECTORS: Real Estate (-2.36% 5D), Communication Services (-2.38% 5D)

ROTATION WATCH: AI-adjacent industrials and defense tech sit at the intersection of both hot sectors — capital should rotate toward names with federal revenue visibility as enterprise AI spend faces digestion concerns.

BYPRODUCT PLAY: Government AI infrastructure buildout benefits second-derivative names in data labeling, secure cloud (e.g., Oracle Gov, IBM federal), and edge compute hardware suppliers exposed to JWCC and similar program flows.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): Continues to dominate defense AI narrative with sustained commercial AIP momentum and GAAP profitability — the benchmark BBAI must close on.
- SOUN (SoundHound AI): Two Zacks notes this week highlight drive-thru ROI and premium multiple — peer trades at a richer EV/Rev despite comparable revenue scale, underscoring narrative premium for vertical AI wins.

BBAI CONTEXT: BBAI is lagging — at 14% of 52-wk range while Tech ETF rips +4.49% over 5 days, relative weakness signals the market is discriminating within AI based on profitability path. BBAI is not pulling away from peers; it is being left behind by PLTR/SOUN narratives.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$3.40-3.60 on technical pullback

Time Horizon: 12-18 months

Thesis Invalidation: Q2/Q3 revenue miss >10%, key DoD contract loss, or cash burn acceleration

Hedging: Pair long BBAI vs short PLTR or SOUN on valuation convergence